

(end-to-end core banking consultancy), information security services, business process outsourcing, and learning and development services.

One of the immediate results of adopting open source was cost savings. IDBI Bank deployed Linux-based applications without incurring any additional costs other than that of the application. "The applications deployed using Linux were highly cost effective as the configuration of hardware required is low compared to other operating systems. We have also saved on software licence costs by deploying solutions on Linux," says Sharma.

Within a short period of a year or two, open source cut IT expenditure tremendously. "A leading bank in India that adopted open source in more than a thousand branches saved about \$1 million in two years only by way of licence fees, training and maintenance cost," testifies Venkatesh Hariharan, corporate affairs director, Red Hat. Apart from cost savings, scalability, and stability, the availability of a lot more versatile tools was another benefit enjoyed by IDBI Bank.

However, transition hitches are a common anxiety faced by most enterprises adopting open source technology. The case with IDBI Bank would have been no different if the company hadn't decided to deploy applications on Linux, early. Further, it did not completely abandon proprietary software and went in for the change gradually, allowing people to adapt to open source more easily. "Workstations run mainly on the Windows operating system and the use of Mozilla's applications and Star/OpenOffice.org on the Windows platform is quite common," says Sharma.

Open source takes deeper root

Over the years, IDBI Bank has only dug deeper into the open source crust to be in sync with e-age banking and offer customers the latest applications. "To meet the growing business requirements, we needed to deploy new applications. IDBI gave preference to applications ported to open source platforms. Our critical applications have been deployed on open source," says Sharma.

In 2002, the bank launched the open source Jabber application and in February 2003, it became the first bank in the Asian Pacific region to implement ERP

on Linux. Subsequently, many applications have been implemented on open source and today IDBI uses Linux for critical applications related to enterprise e-mail, and Web, DNS and LDAP servers.

The deployment of Linux for mission critical applications at IDBI emphatically proves how successful open source technology is, as there is no room for error in such applications. "The entire electronic communication in our bank is dependent on the e-mail server based on Sendmail, which is on

Linux. If, for any reason, the mail server is down, the communication within the bank and outside will be critically hampered, thus affecting business. This application is very critical for our bank and we have chosen open source to implement it," says Sharma, underlining his confidence in OSS for mission-critical applications.

Apart from mission-critical deployments, open source has helped IDBI beef up security and the confidentiality of information. "Contrary to the common perception, open source has helped keep our systems secure as patches/upgrades are available easily. There are more people inspecting the source code, finding and fixing possible vulnerabilities. Unlike in proprietary software, we don't have to accept the level of security the software vendor is willing to deliver and the corresponding pace at which they release patches and updates," says Sharma.

Yet, a lot of doubt exists about the long-term support and maintenance of an open source IT environment. IDBI Bank took care of this by entering into a support arrangement with Red Hat Professional Consulting for support services like implementation, OS tuning services, consulting and engineering services through six

proactive onsite visits. Further, it has the expertise of IDBI Intech for internal guidance as the bank marches down the open source road.

A growing tree

"Altogether, open source deployment has enhanced productivity and the efficiency of processes and people both directly and indirectly, positively impacting our



"We decided to evaluate open source as it would help us lower information technology costs, implement flexible software solutions, achieve better security and get software developed using collaborative and cooperative values"

— Sanjay Sharma, MD and
CEO, IDBI Intech